

Dream 4: Serving Long-Term Investors

My fourth dream is that we again focus on serving long-term shareholders. That is not how it works today. For even as the investment horizons of our fund managers have diminished, so, too, have the horizons of our mutual fund owners. Small wonder, since we have shaped our business to meet the demands of short-term investors. Just look at our mad, ongoing rush to offer investors funds that are designed to be traded rather than funds designed to be held for a lifetime. The contrast of yesteryear's fund industry—consisting largely of marketlike portfolios holding blue-chip stocks—to today's could hardly be more stark. We think in terms of *sizes* and *styles*, terms more suggestive, when you think about it, of the field of high fashion than of the field of investing.

So in my fourth dream, we abandon the fashion-model-runway approach to investing. How can we even pretend to foster responsibility for our clients' long-term well-being when nearly 2,800 of the 6,126 mutual funds that existed in 2001—only seven years ago—are already dead and gone? Instead of narrowly defined *products*, the industry needs to be providing more broadly diversified mutual funds—*trust accounts* that can be bought and held forever. That's where our roots lie. If that change leads us to greater emphasis on broad-market index funds—which clearly meet that definition—well, so be it. But even if it leads to other investment strategies with a similar orientation, the index fund remains the purest paradigm to which we must return.

Dream 5: Putting Fund Investors in the Driver's Seat

My fifth dream is putting the investors in the driver's seat of fund governance. Only in this way can we honor the express demand of the Investment Company Act of 1940—the federal statute that governs our industry—that mutual funds be “organized, operated, and managed in the best interests of their shareholders rather than in the interest of their advisers and underwriters.” Yet for all of the Act's noble intentions, that's simply *not* the principle under which our